

# MARKETING AND CONSUMER BEHAVIOR

Every purchase — yours included — follows a pattern marketers study closely. Today we trace how people decide what to buy, what marketing actually does for (and to) us, and how companies find and reach the right customer.

## WHAT YOU'RE GETTING FOR YOUR 50 MINUTES

- 12.1** Compare buying decisions in business and consumer markets.
- 12.2** Describe the benefits and criticisms of marketing.
- 12.3** Explain how the marketing environment affects strategy.
- 12.4** Describe market research and marketing plans.
- 12.5** Describe target markets and the marketing mix.

Gold-outlined boxes are in-class activities — that's your cue to actually participate, not just read.

## THE DEFINITION WE BUILD ON ALL CLASS

**Marketing.** Creating, communicating, and delivering value to customers.

*Chapter 11 got the product made. Chapter 12 gets it in front of the right person, at the right price, in the right place.*

## OBJECTIVE 12.1

# How people (and businesses) decide to buy

Every purchase, big or small, tends to follow the same basic path.

**Consumer behavior.** How people select, buy, use, and dispose of products.

*YOUR OWN EXAMPLE*

## The consumer buying process

Tap each step in order.

**1 Need recognition**

The buyer realizes there's a gap between what they have and what they want.

EX.

**2 Information search**

The buyer researches options — reviews, friends, ads, comparisons.

EX.

**3 Evaluate alternatives**

The buyer compares the options against what matters most to them.

EX.

**4 Purchase decision**

The buyer commits and makes the purchase.

EX.

**5 Post-purchase evaluation**

The buyer decides whether the product met expectations — shaping the next cycle.

EX.

## Two very different markets

**B2C.** Business-to-consumer: selling directly to individual buyers making personal purchase decisions.

*YOUR OWN EXAMPLE*

**B2B.** Business-to-business: selling to other organizations, often with longer sales cycles and multiple decision-makers.

*YOUR OWN EXAMPLE*

**IN-CLASS DISCUSSION**

**Walk through the five steps for your last big purchase. Where did you spend the most time, and why?**

**NOTES · 12.1 HOW PEOPLE (AND BUSINESSES) DECIDE TO BU**

## OBJECTIVE 12.2

# What marketing actually does

Marketing has a real job to do — and a real set of criticisms it has to answer for.

**Marketing.** Creating, communicating, and delivering value to customers.

*YOUR OWN EXAMPLE*

## Marketing has evolved through eras

Tap each era.

**01 Production era**

Focused on making enough product — demand outstripped supply, so selling wasn't the hard part.

EX. \_\_\_\_\_

**02 Sales era**

Focused on persuading customers to buy what the company had already made.

EX. \_\_\_\_\_

**03 Marketing era**

Focused on identifying customer needs first, then building products to meet them.

EX. \_\_\_\_\_

**04 Relationship era**

Focused on long-term customer relationships, not just single transactions.

EX. \_\_\_\_\_

**05 Social/mobile era**

Focused on real-time, personalized engagement through social and mobile channels.

EX. \_\_\_\_\_

## Benefits of marketing

- Satisfies customer needs
- Supports business growth

## Criticisms of marketing

- Privacy concerns
- Hidden fees
- Misleading practices

**DISCUSSION QUESTION**

**Which marketing criticism — privacy, hidden fees, or misleading practices — bothers you most as a consumer? Can you think of an example?**

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**NOTES · 12.2 WHAT MARKETING ACTUALLY DOES**

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OBJECTIVE 12.3

# The environment marketing operates in

No marketing plan exists in a vacuum — forces inside and outside the company shape what works.

**Internal environment.** Factors within the company itself — resources, culture, other departments' decisions.

*YOUR OWN EXAMPLE*

**External environment.** Factors outside the company's control that still shape its strategy.

*YOUR OWN EXAMPLE*

## External factors to watch

- 01

**Demographic**

Age, income, education, and other population characteristics.

EX. \_\_\_\_\_
- 02

**Economic**

Inflation, employment, and overall spending power.

EX. \_\_\_\_\_
- 03

**Technological**

New tools and platforms that change how customers shop.

EX. \_\_\_\_\_
- 04

**Political**

Regulations and government policy affecting the industry.

EX. \_\_\_\_\_
- 05

**Cultural**

Shifting values, trends, and social norms.

EX. \_\_\_\_\_

NOTES · 12.3 THE ENVIRONMENT MARKETING OPERATES IN

## OBJECTIVE 12.4

## Researching before you launch

Good marketing starts with good information — guessing is expensive.

**Market research.** Collecting and analyzing information to guide marketing decisions.

*YOUR OWN EXAMPLE*

### Two types of data

**Primary data.** Information collected firsthand for a specific purpose — surveys, interviews, experiments.

*YOUR OWN EXAMPLE*

**Secondary data.** Information that already exists, collected by someone else for another purpose — industry reports, government data.

*YOUR OWN EXAMPLE*

### What a marketing plan includes

- Objectives
- Situational analysis
- Target market
- Marketing mix

NOTES · 12.4 RESEARCHING BEFORE YOU LAUNCH

## OBJECTIVE 12.5

# Targeting the right customer with the right mix

Once you know who you're selling to, the marketing mix is how you actually reach them.

## Four ways to segment a market

Tap each to see how it slices the market.

**01 Geographic**

Segmenting by location — region, climate, city size.

EX.

**02 Demographic**

Segmenting by measurable traits — age, income, gender, education.

EX.

**03 Psychographic**

Segmenting by lifestyle, values, and personality.

EX.

**04 Behavioral**

Segmenting by how people actually use or respond to a product.

EX.

## The marketing mix (the 4 Ps)

**01 Product**

What you're actually selling, and how it's designed and packaged.

EX.

**02 Price**

What customers pay, and how that price is positioned.

EX.

**03 Promotion**

How you communicate value — advertising, PR, social media.

EX.

**04 Place**

Where and how customers actually get the product.

EX.



DISCUSSION QUESTION

Pick a brand you like. Describe its marketing mix: product, price, promotion, and place.

NOTES · 12.5 TARGETING THE RIGHT CUSTOMER WITH THE RI

CHAPTER 12 · WRAP-UP

# Closing the campaign

Define each term in your own words. If you can do all of them without looking, you're ready for the quiz.

DEFINE THESE IN YOUR OWN WORDS

- |                     |                  |                       |
|---------------------|------------------|-----------------------|
| • Consumer behavior | • B2C            | • B2B                 |
| • Marketing         | • Marketing era  | • Market research     |
| • Primary data      | • Secondary data | • Market segmentation |
| • Demographic       | • Psychographic  | • Behavioral          |
| • Marketing mix     | • Product        | • Price               |
| • Promotion         | • Place          |                       |

ACTIVITY MINUTE · BEFORE YOU LEAVE

Which key term from this chapter matters most, and why?

Your one biggest “aha” moment from today.

What’s the best piece of marketing you’ve seen recently?

TOTAL — 50 MIN · PAID IN FULL

Chapter 11 got the product made. Chapter 12 got it in front of the right customer. Next, we look at how a business actually pays for all of this.